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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

The Longest Bull? Maybe, But Now What?

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Last Week's S&P 500 Index:
+0.9%

Key takeaways

» *No matter how it is measured, the current bull market has lasted far longer than most.*

» *From here, given our macro outlook, we believe the stock market bull is not over and further upside is expected.*

There has been an argument over the last couple of weeks or so as to whether the current bull market, which "officially" started at the S&P 500 Index's intraday low on March 9, 2009, is indeed the longest bull market on record. Only a few tenths of a percent in October 1990 is the line for some that separated a continuation of a bull market that was in progress from the 1980s with the start of another that rolled on until March 2000 when the tech bubble burst. Of course, one could argue that a 20% move in the index, one way or another, is a rather random and qualitative measure of what constitutes a bull or bear market. But most would say a move in the major indices representing that magnitude is considered the industry "standard."

The question facing investors is now that we have seen an impressive nine-plus-year run higher in the stock market, where do we go from here? Are we close to the top? How much further is there to go in this cycle? And, of course, key considerations are fundamentals and valuations.

As this strategist has stated before, in terms of valuations, stocks are not cheap. The Equity Strategy group considered the stock market to be at "fair value" for the first time in many years in the middle of 2017. Our work suggested that a noticable pullback from that level would likely occur in the second half of 2017 based on numerous reasons (wage inflation concerns, Federal Reserve (Fed) rate hike worries, etc.). Of course, the pullback did not occur until early February of this year when the S&P 500 tumbled 10% in a short six trading days.

Our macro view calls for good U.S. gross domestic product (GDP) growth with only modestly higher inflation. Internationally, we see economic growth improving over the course of the next 12 months after hitting a temporary bump in the road in the first quarter or so of this year. We are looking for central banks around the world to slowly back away from the easy money policies in place since the depths of the financial crisis. As for the Fed, we are calling for one more rate hike this year and possibly two more in 2019.

From here, it is reasonable to expect equities to move higher in line with earnings growth in the intermediate term. While we have not nailed down an earnings estimate for next year, growth in the 7% to 10% range seems reasonable given our macro outlook after a tax-code-change-fueled increase this year. Earnings growth typically slows in the later portions of a cycle as year-over-year comparisons get tougher. In addition, in this cycle, one can argue that effects of fiscal and monetary stimulus will fade as we move through 2019.

Barring any mistake by the Fed or an unexpected slowdown in global growth, the bull market in stocks could very well carry on for a couple more years.

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